

Defence VfM Guidance

Table of contents

Purpose	2
Evaluation Workflow	2
Using Source Guidance Within the Five Es	2
1. Understand the Programme	3
2. Define the Value Proposition and Evaluation Questions	4
3. Set Criteria for Good Resource Use	4
4. Set Standards Before Interpreting Evidence	8
5. Identify the Evidence and Methods Needed	8
Evidence Quality and Assurance	9
Rubric Readiness Check	11
6. Gather Evidence	12
7. Analyse Evidence	12
8. Synthesize Judgements and Report	12
Defence Criteria and Evidence Prompts	13
Economy: Resource Stewardship	13
Efficiency: Delivery and Learning	14
Effectiveness: Operational Value	14
Equity: Distribution of Benefits and Burdens	15
Cost-Effectiveness: Value Relative to Alternatives	16
Applying the Guidance by Programme Type	16
Programme Contexts and VfM Emphasis	16
Reporting Template	19
Common Risks	19
Conclusion	20
References	20

Purpose

This report provides practical value for money (VfM) evaluation framework guidance for evaluators in the defence sector. It is not official policy. It is grounded in Oxford Policy Management’s rubric-based approach to VfM assessment (King et al. 2023) and Verian’s Value for Investment guidance (King and Hurrell 2024), then adapts those ideas to defence capability, digital and cyber, infrastructure, and personnel programmes.

This report explains how to apply a defence VfM evaluation. The [Defence Vfi Rubric Generation](#) report sits alongside it and explains how to build the criteria, subcriteria, standards, and evidence plan before applying the evaluation. Use that report when the framework itself needs to be generated or checked; use this report when the framework is being applied to an evaluation question.

Evaluation Workflow

Verian’s Value for Investment process has two phases: design and implementation. The design phase covers understanding the programme, defining the value proposition and evaluation questions, setting criteria, setting standards, and determining the evidence needed. The implementation phase covers gathering evidence, analysing evidence, synthesising judgements through the criteria and standards, and reporting clear answers (King and Hurrell 2024).

Using Source Guidance Within the Five Es

This report keeps the five Es as the organising criteria: economy, efficiency, effectiveness, equity, and cost-effectiveness. Other important themes, including risk, resilience, learning, capability, evidence quality, commercial assurance, and efficiency savings, should normally be handled as subcriteria, standards, or evidence tests within those five criteria rather than added as separate criteria.

Use the sources in different ways:

Source	Role within the five Es
OPM and Verian	Provide the judgement architecture: value proposition, criteria, subcriteria, standards, evidence, synthesis, and transparent trade-offs (King et al. 2023; King and Hurrell 2024).
Green Book	Anchors objectives, public value, options, monetised and unmonetised effects, distribution, risk, uncertainty, and decision advice (HM Treasury 2026, 2022).

Source	Role within the five Es
JSP 507	Supplies defence appraisal and evaluation evidence on requirements, whole-life cost, CEA, COEIA, affordability, risk, optimism bias, and outturn evaluation (Ministry of Defence 2014a, 2014b).
Sourcing guidance	Strengthens economy, equity, and cost-effectiveness through delivery model assessment, market health, should-cost evidence, bid evaluation, supplier resilience, risk allocation, pricing, KPIs, and benefits evidence (Cabinet Office and Government Commercial Function 2026).
Government Efficiency Framework	Strengthens efficiency evidence by testing baselines, counterfactuals, net savings, recurrence, double counting, assurance, and protection of outputs and outcomes (HM Treasury 2025a, 2025b).

1. Understand the Programme

Start with the programme, not with indicators. Establish the decision context, users, stakeholders, information needs, programme boundaries, lifecycle stage, and constraints. In defence, this should include the operational problem, acquisition route, industrial context, security and safety constraints, support model, dependencies with other programmes, and the decision the evaluation must inform.

Develop or review the theory of change at this stage. The theory of change should describe how defence resources and inputs are expected to support activities, outputs, outcomes, and wider impacts. For a defence programme, it should make the causal pathway explicit:

- resources and inputs: funding, people, contracts, facilities, data, equipment, intellectual property, permissions, and relationships;
- activities: design, procurement, build, integration, testing, training, deployment, support, adaptation, and assurance;
- outputs: delivered equipment, software, services, facilities, trained users, doctrine, support arrangements, and data products;
- outcomes: operational availability, decision advantage, deterrence, resilience, welfare, safety, interoperability, productivity, or estate quality;
- impacts: national security effect, readiness, alliance contribution, sovereign choice, public value, industrial capacity, environmental performance, and future-force optionality.

2. Define the Value Proposition and Evaluation Questions

Extend the theory of change with a value proposition. Verian describes this as making value creation explicit: who the investment is valuable to, what resources are invested, how the investment converts resources into value, and what ways of working enable that value (King and Hurrell 2024).

For a defence programme, write a short value proposition covering:

- who values the investment: front-line users, commands, maintainers, allies, suppliers, communities, taxpayers, and future programmes;
- what value is expected: operational effect, resilience, deterrence, interoperability, safety, personnel welfare, industrial capacity, environmental value, sovereign options, and learning;
- what resources are consumed: acquisition, support, workforce, facilities, data, training, assurance, opportunity cost, and through-life funding;
- what alternatives exist: doing less, delaying, upgrading existing capability, buying off the shelf, partnering with allies, leasing, using commercial services, or choosing a non-materiel option;
- what must be true for value to emerge: user adoption, integration, security, supportability, realistic training, supplier performance, governance, and credible threat or demand assumptions.

Turn this into a small number of evaluation questions. The main VfM question should ask whether the resource use is justified in context; subquestions should map to the criteria, standards, and evidence plan.

This follows OPM's principle that VfM criteria must be specific to the programme rather than copied from generic definitions (King et al. 2023). It also reflects Verian's argument that VfM assessment should integrate economic, social, environmental, cultural, and other public values rather than treating cost-benefit analysis as the whole answer (King and Hurrell 2024).

3. Set Criteria for Good Resource Use

Use the 5Es as the criteria structure, then translate each criterion into defence language. Do not assume each E has equal weight in every programme. Do not create extra top-level criteria unless a separate governance process requires it. In this report, risk, resilience, learning, capability, evidence quality, sourcing, and assurance are treated as subcriteria, standards, or evidence checks within the five Es.

Criterion	Defence interpretation	Evaluator prompt
Economy	Stewardship of inputs, contracts, workforce, facilities, support, data, and scarce specialist capacity.	Were the right inputs secured at appropriate quality and cost, with credible commercial discipline and risk control?
Efficiency	Conversion of resources into outputs through delivery, governance, integration, testing, learning, and relationships.	Did the programme avoid avoidable delay, rework, duplication, idle capacity, and transaction cost?
Effectiveness	Operational, organisational, and user value created by the delivered capability.	Does the capability work in the conditions that matter, with users able to exploit it?
Equity	Fair distribution of benefits, burdens, access, risks, and future liabilities.	Are personnel, commands, allies, suppliers, communities, taxpayers, and future budgets treated fairly?
Cost-effectiveness	Whether the total value created justifies the total resource use compared with credible alternatives.	Is the defence effect worth the acquisition, support, risk, opportunity, and through-life cost?

After selecting criteria, define a small number of subcriteria for each one before selecting indicators or evidence. In the OPM approach, the sequence matters: understand the value proposition, select relevant criteria, write programme-specific definitions, identify subcriteria, define standards, and only then decide what evidence is needed (King et al. 2023). Verian’s Value for Investment guidance follows the same logic by using criteria and standards to make wider public value, trade-offs, and non-monetised effects explicit (King and Hurrell 2024).

Subcriteria should describe the dimensions of performance that would make resource use good in the programme context. They are not a generic checklist and they are not simply data headings. They should be derived from the value proposition, theory of change, decision context, stakeholder perspectives, and the main trade-offs the evaluation needs to judge.

Good subcriteria usually do four things:

- make each criterion specific enough to judge, for example by distinguishing input stewardship, output quality, access, risks, contribution, trade-offs, or non-monetised value;
- cover the most material parts of the resource-to-value pathway without trying to measure everything;
- separate different kinds of performance that might otherwise be hidden inside one rating, such as delivery speed, output quality, targeting, learning, and coordination;

- support standards and evidence planning, so evaluators can later say what would count as poor, adequate, good, or excellent performance.

Subcriteria should generally follow the main question each E is asking rather than repeat programme-specific evidence lists. Efficiency needs particular care: a narrow cost-per-output view may be useful for some activities, but it can miss important features of complex capability, digital, infrastructure, and personnel programmes. Following OPM’s approach, efficiency subcriteria should distinguish technical, allocative, dynamic, and relational efficiency where those distinctions matter.

Criterion	Subcriteria should clarify	Generic subcriteria focus
Economy	Which inputs need stewardship, what quality threshold is required, and which cost or probity risks would undermine value.	Price reasonableness, input quality, procurement discipline, probity, cost drivers, stewardship, and risks of false economy.
Efficiency	How resources are converted into outputs, whether the right activities are prioritised, whether learning improves resource use, and whether relationships reduce waste.	Technical efficiency: unit or activity cost, timeliness, output quality, budget adherence, process productivity, and avoidable rework. Allocative efficiency: portfolio balance, targeting, prioritisation, option choices, stopping lower-value activity, and shifting resources to higher-value opportunities. Dynamic efficiency: feedback loops, experimentation, learning from failure, incremental improvement, timely adaptation, and productivity over time. Relational efficiency: trust, coordination, partner alignment, information sharing, dispute resolution, reduced duplication, and lower transaction costs.

Criterion	Subcriteria should clarify	Generic subcriteria focus
Effectiveness	Which outputs must work, for whom, under what conditions, and how they plausibly contribute to intended outcomes.	Output quality, outcome contribution, causal assumptions, user or beneficiary uptake, unintended effects, and contextual conditions.
Equity	How benefits, burdens, access, risks, and future liabilities are distributed across stakeholders and over time.	Inclusion, access, differential outcomes, distribution of costs and risks, burden sharing, dignity, and intergenerational effects.
Cost-effectiveness	Which outcomes or impacts justify the resources used, what alternatives are credible, and how monetised and non-monetised value will be weighed.	Costs relative to outcomes, alternatives, opportunity cost, uncertainty, sustainability, equity goals, and qualitative value judgement.

These efficiency types should be used selectively. For example, technical efficiency may dominate a mature equipment delivery question, while dynamic and relational efficiency may be more important for cyber, digital, innovation, partnering, or complex transformation programmes.

If an efficiency or savings claim is material, test it against Government Efficiency Framework-style evidence. A credible efficiency claim should distinguish forecast from realised savings, state the baseline and counterfactual, net off costs to deliver, show whether savings are recurring, prevent double counting, and demonstrate that outputs, outcomes, quality, safety, security, or strategic priorities have not deteriorated. Underspend, cancellation, delayed spending, inflation changes, reduced output, unfunded transfer of work, cost shifting to another organisation, or unsupported forecast savings should not be treated as efficiency evidence without a separate value argument.

The detailed defence subcriteria and evidence prompts later in this report show how these general design prompts can be translated into programme-specific assessment headings.

The 5Es are often most useful for ex-post or in-flight assessment. For ex-ante decisions, coordinate with the Green Book five-case model and use explicit criteria to make the strategic, economic, commercial, financial, and management cases easier to judge coherently.

4. Set Standards Before Interpreting Evidence

OPM’s practical contribution is the disciplined link from criteria to standards, evidence, and judgement (King et al. 2023). For each criterion, agree performance standards before judging the evidence.

Level	Defence VfM standard
Excellent	Performance exceeds reasonable expectations; trade-offs are explicit; evidence shows strong delivery of operational value, stewardship, learning, and fair distribution of burdens.
Good	Performance meets expectations with minor exceptions; material risks are controlled; evidence supports a credible positive judgement.
Adequate	Minimum expectations are met, but important weaknesses remain in cost, schedule, usability, integration, support, evidence, or distribution of burdens.
Poor	Minimum expectations are not met, or unresolved weaknesses make the use of resources hard to justify.

Rubrics should be specific enough to guide judgement. For example, “good effectiveness” for a satellite communications programme is not the same as “good effectiveness” for accommodation modernisation. The former may turn on assured communications, contested-environment resilience, and allied interoperability; the latter may turn on living conditions, occupancy, maintainability, and effects on personnel welfare.

For each E, standards should also state what evidence confidence is required. A “good” rating should not rest on weak source traceability, untested assumptions, unsupported efficiency claims, or evidence that covers only monetised effects while omitting material operational, social, environmental, distributional, or future value. Where evidence is partial, commercially sensitive, classified, or immature, the rating should explain how that limitation affects confidence.

5. Identify the Evidence and Methods Needed

Use economic analysis where it is feasible, but do not let it crowd out other evidence. Verian’s Value for Investment approach is useful for defence because many important effects are uncertain, classified, strategic, or difficult to monetise (King and Hurrell 2024).

Common evidence sources include:

- business cases, approvals, commercial strategies, contract data, cost models, and cost assurance;
- schedules, risk registers, issue logs, test results, acceptance evidence, and support data;
- operational analysis, trials, exercises, user research, training records, and readiness data;
- cyber, safety, security, resilience, interoperability, and data-governance evidence;
- supplier, workforce, estate, environmental, community, and industrial-base evidence;
- delivery model assessments, market health evidence, should-cost models, bid evaluation records, KPI baselines, payment mechanisms, risk allocation matrices, supplier financial standing checks, continuity plans, and benefits reports;
- GEF-style efficiency evidence, including baselines, counterfactuals, gross and net savings, costs to deliver, recurrence, double-counting controls, outcome protection, and assurance records;
- comparator evidence from allies, commercial alternatives, previous programmes, or portfolio options;
- stakeholder evidence from users, front-line commands, maintainers, digital operators, commercial staff, suppliers, local communities, and allied partners.

At this point, decide which economic evidence is proportionate. JSP 507 is clear that full cost-benefit analysis has a limited role in MOD because few defence activities produce benefits that can sensibly be valued in monetary terms; most MOD appraisals therefore use cost-effectiveness analysis, and many equipment decisions use Combined Operational Effectiveness and Investment Appraisal to compare through-life cost with operational or business effectiveness (Ministry of Defence 2014a, 2014b). Treat CBA as exceptional rather than the default. Use it only where the material benefits can credibly be monetised, such as some health, safety, environmental, business-change, or spend-to-save cases, and seek Defence Economics advice where JSP 507 requires it. For most defence VfM evaluations, prioritise whole-life cost, cost-effectiveness or COEIA-style option comparison, break-even analysis, scenario and sensitivity analysis, and rubric-based judgement of non-monetised operational, strategic, resilience, safety, welfare, and future value. Where any monetised analysis is used, state clearly what it covers, what it omits, and how the omitted value affects the overall VfM judgement. The [JSP 507 Investment Appraisal and Evaluation](#) source note maps the guidance to VfI-style criteria, standards, and evidence prompts.

Evidence Quality and Assurance

Evidence quality is not a separate top-level criterion in this report. It is a discipline that applies across all five Es. For each major evidence item, record what it informs, how it has been checked, what it cannot show, and how much weight it should carry in synthesis.

Evidence item	Five-E use	Quality checks	Common limitation	Use in synthesis
Business case and options appraisal	Economy, effectiveness, cost-effectiveness.	Check objectives, option set, critical success factors, appraisal boundary, treatment of unmonetised value, sensitivity, and optimism bias.	Forecast evidence may not match delivery reality.	Establish expected value, alternatives, and assumptions to test.
Whole-life cost and should-cost models	Economy and cost-effectiveness.	Check cost completeness, base date, inflation, hidden costs, common costs, transfer payments, risk, assurance, and treatment of retained-client costs.	Future operating, upgrade, or dependency costs may be immature.	Judge cost realism, affordability, and false economy risk.
Efficiency and benefits records	Efficiency and cost-effectiveness.	Check baseline, counterfactual, gross and net treatment, costs to deliver, recurrence, double counting, and no adverse outcome impact.	Savings may be forecast, deferred, shifted, or dependent on unproven service changes.	Distinguish claimed, forecast, delivered, and assured efficiency.

Evidence item	Five-E use	Quality checks	Common limitation	Use in synthesis
Commercial and supplier evidence	Economy, equity, and cost-effectiveness.	Check delivery model rationale, market evidence, competition, framework route, bid evaluation, risk allocation, pricing, supplier financial standing, continuity, and benefits ownership.	Supplier data may be commercially sensitive or incomplete.	Judge whether sourcing choices support sustainable value.
Operational, user, and service evidence	Effectiveness, equity, and cost-effectiveness.	Check relevance to operational conditions, user groups, readiness, quality, safety, cyber, security, and maintainability.	Trials or service data may not represent deployed conditions or all users.	Judge whether outputs plausibly create intended defence value.
Stakeholder and qualitative evidence	Effectiveness and equity.	Check sampling, perspective coverage, triangulation, dissenting views, and classified or sensitive exclusions.	Evidence may be partial or shaped by role, incentives, or access constraints.	Explain how and why value is created or blocked.

Rubric Readiness Check

Before gathering evidence, check that the five-E framework is usable:

- each criterion has a programme-specific definition linked to the value proposition;
- subcriteria are limited to the material dimensions of value and resource use;
- standards describe poor, adequate, good, and excellent performance before evidence is interpreted;

- sourcing, risk, resilience, learning, assurance, and evidence quality are located inside the five Es rather than added as extra criteria;
- efficiency or savings claims have planned evidence for baselines, counterfactuals, netting, recurrence, double counting, and outcome protection;
- commercial value evidence covers delivery model, market health, should-cost, supplier resilience, risk allocation, pricing, KPIs, and benefits realisation where material;
- monetised and non-monetised value are both visible;
- alternatives, opportunity cost, affordability, uncertainty, distribution, and future liabilities are visible;
- known evidence gaps and confidence implications are recorded.

6. Gather Evidence

Collect the agreed evidence in a way that follows the rubric. Survey, interview, document-review, trial-analysis, and administrative-data tools should use headings aligned to the criteria and subcriteria so evidence can be organised efficiently.

Defence evaluations should plan for practical constraints: classified evidence, operational security, small user populations, immature outcome data, long benefit horizons, supplier confidentiality, and contested causal claims. These constraints should be recorded as evidence limitations, not hidden in the final judgement.

7. Analyse Evidence

Analyse each evidence stream separately before synthesis. Cost data, schedule data, test evidence, operational analysis, user feedback, cyber assurance, estate data, and supplier evidence each need their own quality checks.

This is also where causal inference or contribution analysis should be handled. For some defence questions, a counterfactual may be available through options analysis, historical comparison, allied benchmarking, or status quo modelling. For others, a theory-based contribution claim will be more credible than forced monetisation.

8. Synthesize Judgements and Report

The final VfM judgement should show the reasoning chain:

1. programme context and theory of change;
2. value proposition and evaluation questions;
3. tailored criteria and subcriteria;
4. agreed standards;
5. evidence by criterion;

6. analysis, ratings, and uncertainty;
7. trade-offs between criteria;
8. overall judgement;
9. actions to improve future resource use.

Avoid averaging scores mechanically. Defence programmes often involve explicit trade-offs: higher acquisition cost may be justified by survivability, safety, interoperability, resilience, or lower through-life cost. The evaluator's task is to explain whether those trade-offs are justified by the evidence.

Report the answer up front. The report should give clear evidence-supported ratings against the criteria, then show the reasoning and limitations behind those ratings.

Defence Criteria and Evidence Prompts

Economy: Resource Stewardship

Focus on whether the programme secured appropriate inputs at appropriate cost and quality.

Subcriterion	Defence evidence
Commercial discipline	Procurement strategy, competition records, sole-source justification, open-book evidence, price benchmarking, should-cost analysis.
Market and delivery model choice	Delivery model assessment, market health analysis, framework route rationale, insourcing or outsourcing comparison, early market engagement records.
Whole-life cost control	Acquisition, support, infrastructure, training, workforce, digital, disposal, decommissioning, and upgrade cost models.
Scarce capability inputs	Specialist engineering, nuclear, cyber, software, shipbuilding, aviation, construction, commercial, and safety skills.
Long-lead and obsolescence management	Long-lead item plans, spares, technology roadmaps, refresh cycles, design-change control, inventory strategy.
Supplier financial standing and continuity	Economic and financial standing checks, continuity plans, resolution plans, dependency mapping, critical supplier monitoring.
Security and quality investment	Assurance, test, certification, safety, cyber, data protection, and quality-at-source decisions that prevent later rework or failure.

Efficiency: Delivery and Learning

Focus on whether resources were converted into useful outputs without avoidable waste.

Subcriterion	Defence evidence
Schedule realism	Integrated master schedule, risk adjustment, critical path, dependency tracking, approvals history.
Integration and test flow	Systems integration evidence, trials plans, certification progress, defect and rework logs, acceptance evidence.
Governance speed	Decision logs, escalation routes, approvals time, change-control performance, delegated authority.
Supply-chain and resource flow	Supplier performance, material availability, yard or facility capacity, workforce allocation, competing programme demands.
Valid efficiency and savings claims	Baselines, counterfactuals, gross and net savings, costs to deliver, outturns, recurrence evidence, double-counting controls, outcome and quality protection.
Dynamic and relational efficiency	Learning logs, adaptation decisions, joint working arrangements, information sharing, dispute resolution, lessons applied across projects.

Effectiveness: Operational Value

Focus on whether the delivered outputs plausibly create intended defence outcomes.

Subcriterion	Defence evidence
Capability delivered	Acceptance trials, operational test and evaluation, performance against key parameters, mission-thread evidence.
Reliability, availability, maintainability	Availability data, defect rates, mean time between failures, support burden, spares availability, maintainer feedback.
Interoperability	Allied, joint, and legacy-system integration evidence; standards compliance; exercise results; data-sharing evidence.

Subcriterion	Defence evidence
User adoption and readiness	Training completion, user feedback, doctrine and tactics updates, simulator use, operational readiness indicators.
Service quality and benefits realisation	KPI baselines, benefits register, service management data, incident resolution, user satisfaction, quality thresholds, benefits owner evidence.
Resilience and adaptability	Cyber resilience, contested-environment performance, safety, upgrade path, modularity, technical debt, climate resilience where relevant.

Equity: Distribution of Benefits and Burdens

Focus on fairness across stakeholders and time.

Subcriterion	Defence evidence
Risk allocation	Contract terms, liability, incentives, safety responsibilities, cyber responsibilities, insurance, decommissioning obligations.
User and maintainer burden	Training load, supportability, operating cost, workload, safety, welfare, usability, deployment constraints.
Cross-force and allied access	Allocation across services, units, geographies, readiness priorities, allied interoperability, coalition use.
Supplier access and market fairness	SME participation, framework access, competition design, barriers to entry, social value evidence, treatment of incumbents and new entrants.
Industrial and workforce distribution	Regional effects, skills pipelines, sovereign capability, workshare, supplier resilience, workforce transition, knowledge transfer.
Inter-generational fairness	Technical debt, deferred maintenance, disposal liabilities, carbon, estate condition, future budget pressure.

Cost-Effectiveness: Value Relative to Alternatives

Focus on whether the outcomes justify the resources used.

Subcriterion	Defence evidence
Total cost of ownership	Acquisition, operation, sustainment, infrastructure, training, refresh, disposal, and opportunity cost.
Alternative options	Delivery model assessment; commercial service, allied collaboration, upgrade, lease, framework route, off-the-shelf buy, smaller scope, slower delivery, or non-materiel solution.
Strategic and operational value	Deterrence, resilience, readiness, interoperability, mission success, personnel welfare, information advantage.
Wider public value	Industrial capacity, exports, skills, environmental gains, community effects, cross-government reuse.
Commercial value and incentives	Bid evaluation evidence, price-quality trade-offs, KPI design, payment mechanism, risk pricing, benefits realisation, contract management evidence.
Uncertainty and sensitivity	Scenario analysis, optimism bias, cost risk, threat changes, demand changes, technology cycles.

Applying the Guidance by Programme Type

Programme Contexts and VfM Emphasis

Use the programme descriptions as adaptation prompts rather than generic case studies. The point is to tailor the VfM framework to the main value mechanism, delivery constraints, users, and alternatives for the programme being assessed.

Programme type	VfM emphasis
Combat air	Integration of sensors, weapons, software, support, training, international partners, mission data, and through-life upgrade cost.

Programme type	VfM emphasis
Submarines	Nuclear or specialist safety, stealth, industrial capacity, long-lead items, assurance, decommissioning liabilities, and strategic deterrence value.
Surface warships	Shipyard flow, combat-system integration, fleet availability, interoperability, crew burden, growth margins, and upgrade path.
Armoured vehicles	Protection, mobility, firepower, weight trade-offs, maintainability, soldier usability, fleet commonality, and alternative land-effect options.
Digital and cyber programmes	Data, connectivity, software quality, cyber and anti-jamming resilience, user adoption, service reliability, security accreditation, interoperability, technology refresh, open standards, and avoidance of supplier lock-in.
Infrastructure and estate programmes	Whole-life asset cost, planning and environmental constraints, construction and transition risk, maintainability, occupancy, user experience, community effects, land-disposal value, carbon, biodiversity, and future estate liabilities.
Major personnel programmes	Workforce demand forecasting, attraction, selection, medical and security vetting, onboarding, training pipeline capacity, candidate experience, diversity and fairness, retention into trained strength, contractor performance, and cost per successful recruit.

For each programme, define what “good” means against the intended defence outcome and programme-specific value proposition, not against a generic list of desirable features.

Major capability programmes usually create value by integrating equipment, people, information, support, doctrine, and industrial capacity into an operational effect. Crowsnest illustrates the point because it was intended to provide airborne surveillance, control, and early warning for Carrier Strike by fitting radar and mission-system equipment to Merlin helicopters (National Audit Office 2020). A VfM assessment should therefore look beyond whether a sensor was procured. It should test whether the role-fit works with the aircraft, crews, ships, command-and-control arrangements, training pipeline, support model, and deployment schedule; whether delays or integration compromises created a capability gap or reduced operational availability;

and whether the chosen approach remained preferable to alternatives once through-life cost, upgrade path, and dependencies with the wider carrier strike system are considered.

Digital programmes create value through data, connectivity, software, resilience, and user adoption. They need VfM criteria that recognise rapid technology cycles and cyber risk.

Skynet 6 illustrates the point. MOD describes it as the next-generation military satellite communications programme, with more than £5 billion being invested in the Skynet programme over ten years and objectives including resilient global services, space workforce development, prosperity, contested-space capability, and net zero (Ministry of Defence 2025). A VfM assessment should therefore examine commercial arrangements, satellite, ground and user segments, cyber and anti-jamming resilience, allied interoperability, workforce capacity, alternatives such as commercial SATCOM, and through-life replacement cycles.

Do not treat system uptime, agile velocity, or licence cost as sufficient VfM evidence by themselves. Digital VfM depends on whether users can exploit the system securely and reliably in operational conditions.

A digital support contract shows how sourcing and GEF prompts can be absorbed into the existing five Es without creating new criteria. Economy would test the delivery model, framework route, should-cost model, retained-client cost, supplier standing, and false economy risks. Efficiency would test whether claimed savings are supported by a credible baseline, counterfactual, costs to deliver, recurrence, double-counting controls, and protected service quality. Effectiveness would test incident resolution, cyber compliance, service availability, user experience, and benefits realisation. Equity would test whether risk, workload, access, and service burdens are shifted unfairly to users, maintainers, smaller suppliers, or future budgets. Cost-effectiveness would test whether the whole-life cost is justified by better support, reduced duplication, cyber assurance, and credible alternatives.

Infrastructure programmes create value through places where personnel live, train, work, and operate. They need VfM criteria that account for long asset lives, planning and environmental constraints, communities, maintainability, and user experience.

The Defence Estate Optimisation portfolio is the main public example. MOD describes it as Defence’s largest estates change programme, investing £5.1 billion in modern, greener, and sustainable infrastructure, delivering accommodation for over 27,000 personnel and families, releasing surplus land for more than 32,000 homes, and forecasting over 200 hectares of biodiversity net-gain measures (Ministry of Defence 2026). Evaluation should therefore combine cost and schedule evidence with estate rationalisation, personnel outcomes, biodiversity, land-disposal value, community effects, and future estate liabilities. The NAO’s report on optimising the defence estate provides an important accountability source for judging delivery risks and assumptions (National Audit Office 2021).

Major personnel programmes create value by sustaining the workforce needed for defence outputs. The Armed Forces Recruiting Programme is a useful example because the evaluation plan frames it as a move from three separate recruitment processes to a tri-service recruitment

approach, supported by recruitment, transition, digital, data, estate, and cross-government inputs (Ministry of Defence 2024). A VfM assessment should therefore test whether recruitment resources increase the number, quality, suitability, and timeliness of recruits who progress into initial training and trained strength, while reducing candidate leakage, duplicated effort, avoidable estate cost, data inconsistency, and unfair barriers. It should not treat applications, marketing reach, or starts as sufficient evidence by themselves. The judgement needs to distinguish intermediate recruitment activity from the personnel outcomes that matter for readiness, resilience, diversity, and scarce skills.

Programme types often overlap. A recruitment programme may depend on digital services, medical assessment capacity, estate choices, and training pipeline constraints. A cyber programme may include infrastructure, supplier, workforce, and operational-change elements. Evaluators should therefore tailor the criteria to the value mechanism and decision context rather than relying on the programme label.

Reporting Template

Use a consistent reporting structure so readers can audit the judgement:

1. **Decision context:** What decision will the VfM assessment support?
2. **Theory of change:** How are resources expected to create defence outputs, outcomes, and wider impacts?
3. **Value proposition:** What value was expected, for whom, through what mechanisms, and compared with what alternatives?
4. **Evaluation questions:** What answers do decision-makers and stakeholders need?
5. **Tailored criteria:** How were the 5Es translated into programme-specific definitions?
6. **Standards:** What would poor, adequate, good, and excellent performance look like?
7. **Evidence and methods:** What evidence was used, what quality checks were applied, what was missing, and how credible is it?
8. **Analysis and judgements:** What rating is given for each criterion, and why?
9. **Trade-offs and uncertainty:** Which weaknesses are tolerable, which are material, and which undermine VfM?
10. **Overall conclusion:** Is resource use justified in context?
11. **Improvement actions:** What should change in delivery, future approvals, commercial strategy, data, evaluation, or portfolio decisions?

Common Risks

- Retrofitting standards after seeing the evidence.
- Treating cost control as the whole of VfM.
- Ignoring users, maintainers, cyber operators, safety specialists, or local communities.
- Counting industrial or strategic benefits without evidence that they are additional.

- Reporting a single overall rating without explaining trade-offs and uncertainty.
- Using generic 5E definitions that do not reflect the actual defence capability.
- Confusing delivery outputs with sustained operational or welfare outcomes.
- Treating underspend, deferral, cancellation, cost shifting, or unsupported forecast savings as efficiency.
- Treating procurement compliance, bid scores, or contract award as enough evidence of commercial value.
- Ignoring evidence limitations where data are classified, commercially sensitive, immature, or not representative of operational conditions.

Conclusion

The strongest defence VfM evaluations combine OPM’s explicit criteria, standards, evidence, and judgement discipline with Verian’s broader Value for Investment framing. That combination is well suited to defence because the value of a programme often lies in resilience, deterrence, interoperability, safety, welfare, sovereign choice, and future optionality as well as monetised benefits.

Evaluators should therefore design VfM assessment as a transparent reasoning process. The question is not simply whether the programme spent less, delivered more, or produced a favourable ratio. It is whether the total resource use was justified by the operational, organisational, strategic, social, environmental, and future value created.

For detailed guidance on generating the rubric architecture before applying it, see the [Defence Vfi Rubric Generation](#) report.

References

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